**THE PRESIDENT'S OFFICE**
**REGIONAL ADMINISTRATION AND LOCAL GOVERNMENT**
**FORM FOUR JOINT EXAMINATION FOR GOVERNMENT SCHOOLS –JEGOS**

**PRE-MOCK EXAMINATION**
**COMMERCE**

**MARKING SCHEME 2024**

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1. Multiple choice questions; **(1 mark@ for 10 items = 10 marks)**

| (i) | (ii) | (iii) | (iv) | (v) | (vi) | (vii) | (viii) | (ix) | (x) |
|---|---|---|---|---|---|---|---|---|---|
| A | C | A | A | C | B | A | C | C | C |

2. Matching items; **(1 mark@ for 6 items = 6 marks)**

| i | ii | iii | iv | v | vi |
|---|---|---|---|---|---|
| C | I | F | A | B | E |

## Section B (54 marks)

3. (a) Importance of monetary policy;
   (i) To control inflation
   (ii) To control deflation
   (iii) To stimulate the economy for faster growth.
   (iv) To increase employment opportunities
   (v) To reduce the income inequality
   (vi) To stimulate mass production
   (vii) To influence allocation of resources
   (viii) To increase the level of investment
   (ix) To increase government income
   (x) To reduce rural urban migration **(1 mark@ times 5= 5 marks)**

   (b) Means of payment offered by commercial bank:
   (i) Cheque
   (ii) Standing order
   (iii) Bank draft
   (iv) Credit transfer
   (v) Credit cards
   (vi) Debit cards
   (vii) Direct debit
   (viii) Postal order
   (ix) E-banking

(x) Bills of exchange
(xi) Promissory notes.

**(1 mark@ times 4= 4 marks)**

4. (A) - Advantages of self-employment;
   (i) Independence
   (ii) Financial rewards
   (iii) Income to the family
   (iv) Create job security
   (v) High self-esteem/job satisfaction
   (vi) Financial freedom
   (vii) Direct attention to your customers

   - Disadvantages of self-employment;
   (i) Risk of failure
   (ii) Wrong decision
   (iii) Too much pressure
   (iv) Unstable income
   (v) Loss of personal life
   (vi) Setbacks may affect your confidence and profits
   (vii) Some Tasks may be unpleasant
   (viii) Lack of employment benefits

   (B) Disadvantages of refusing credit to the customers;
   (i) Deteriorated social understanding with his customers
   (ii) Limited sales
   (iii) Limited profit
   (iv) Increased storage costs
   (v) Limited business expansion
   (vi) Loss of additional income due to interest on credit

   **(1 mark@ for 9 points= 9 marks**

5. (a) Market research problems;
   i It is expensive
   ii Lack of sufficient funds
   iii Language barriers
   iv Poor transport and communication network
   v Inappropriate methodology
   vi Inexperience in interpreting research data
   vii Lack of enough personnel

   **(1 mark@ times 5= 5 marks)**

   (b) Possible Solutions;
   i Development of infrastructure
   ii Establishment of training institutes to increase research expertise
   iii More funds should be made available
   iv The use of technology to overcome language barriers

**(1 mark@ times 4= 4 marks)**

6. Advantages of standard gauge railway over road from Morogoro to Dar;
   (i) Larger carrying capacity
   (ii) Less effect of weather
   (iii) Safer than road
   (iv) Cheaper than road
   (v) Well organized than road
   (vi) Electric trains are faster than lorries

   **(1.5 marks@ times 6= 9 marks)**

7. Disadvantages of free trade;
   i Collapse of domestic infant industries
   ii Production and consumption of harmful products
   iii Encourages dumping
   iv Danger of imported inflation
   v Higher risks of unemployment
   vi Loss of government revenue
   vii Exhaustion of natural resources

   **(1.5 marks@ times 6= 9 marks)**

8. Differences in the premium amounts insured are required to pay;
   (i) Age differences
   (ii) Occupational differences
   (iii) Financial differences
   (iv) Differences in places of residents
   (v) Differences in their health status
   (vi) Differences in the length of their policies

   **(1.5 marks@ times 6= 9 marks)**

9. Demand is a dependent variable because it cannot determine its size; the size of demand is determined by the following factors;
   (i) Commodity's own price
   (ii) Consumer's income
   (iii) Consumer's taste and preferences
   (iv) Price of related commodity
   (v) Population size
   (vi) Level of advertisement
   (vii) Economic condition
   (viii) Weather condition

**Introduction = 2 marks; Main body = 2 @ point for six items = 12; Conclusion = 1 mark**
**Total = 15marks**

10.– Advantages of government ownership;

   (i) Defense requirements

(ii) Basic industries
(iii) Public utilities
(iv) Infrastructure
(v) Prevention of monopoly (concentration of economic power);
(vi) Curbing wasteful competition
(vii) Development of backwards regions
(viii) Financing the economy
(ix) Provision of employment opportunities

- Disadvantages of government ownership;
  (i) Limited skills
  (ii) Expensive to finance
  (iii) Low initiative
  (iv) Mis-handling of funds
  (v) Uneconomical
  (vi) Discourages private investments
  (vii) Bureaucracy leads to delays
  (viii) Political influence
  (ix) Monopoly status.

**Introduction = 2 marks; Main body = 2 @ point for six items = 12; Conclusion = 1 mark**
**Total = 15marks**

11. Advantages of indirect taxes;
    i They are easy to collect
    ii They are not easy to evade
    iii Their burden is not easily felt
    iv They can stop consumption of harmful products
    v It is not discriminative
    vi It protects home industries
    vii Guide the allocation of resources
    viii They help to stabilize the economy
    ix Wider tax base than direct tax

- Disadvantages of indirect taxes;
  (i) It is regressive in nature
  (ii) It is inflationary in nature
  (iii) It creates inconvenience
  (iv) It is uneconomical
  (v) May be biased
  (vi) Discourage demand

**Introduction = 2 marks; Main body = 2 @ point for six items = 12; Conclusion = 1 mark**
**Total = 15marks**